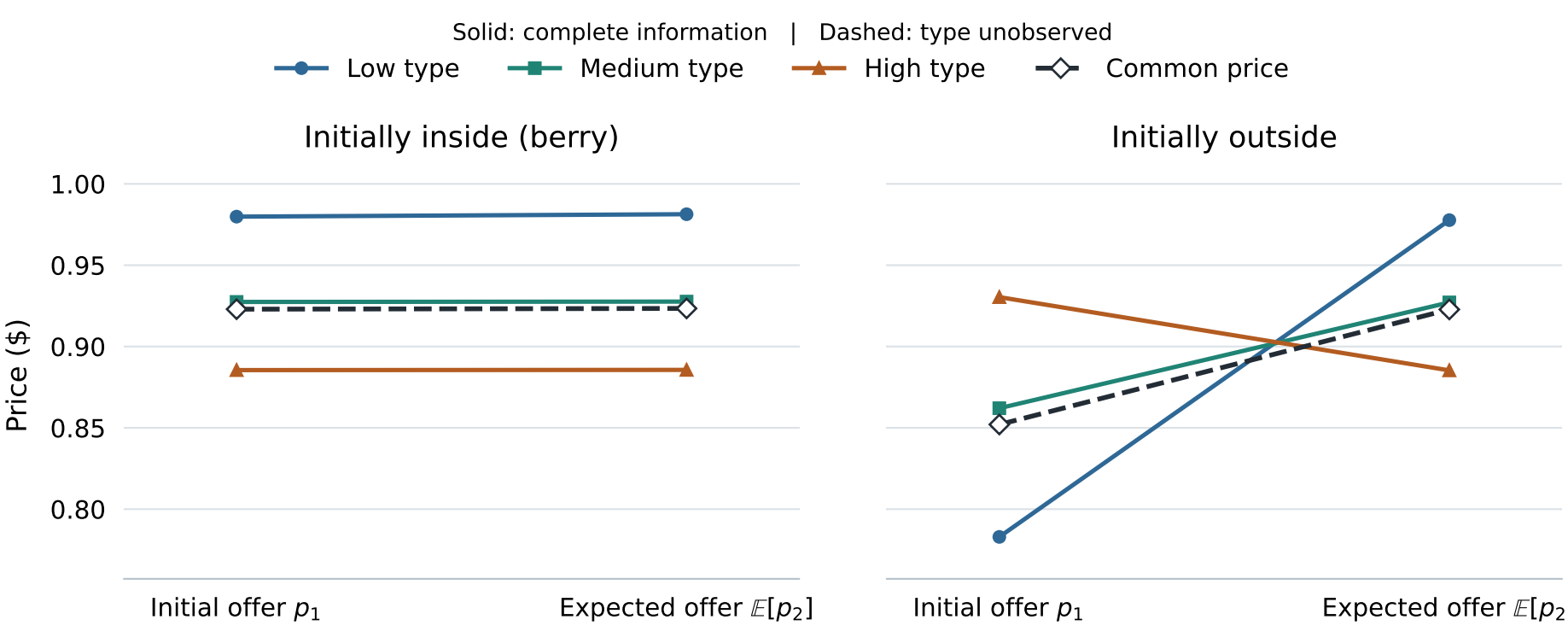
Solid: complete information | Dashed: type unobserved
Low type
Medium type
High type
Common price
Initially inside (berry)
Initially outside
Price ($)
1.00
0.95
0.90
0.85
0.80
Initial offer p_1
Expected offer $\mathbb{E}[p_2]$
Initial offer p_1
Expected offer $\mathbb{E}[p_2]$